PT Nirwana Bhumi Energi

ACCOUNTING, FINANCIAL AND TAX POLICIES

Disetujui Oleh : Direktur Keuangan (CFO)
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1.0 OBJECTIVES

The purpose of this Finance Division Structure document is to regulate and standardise the understanding of the organisational structure, authority and operational functions carried out by the Finance Division of PT Nirwana Bhumi Energi.

Specifically, this document aims to:

- Provide a structured framework regarding the division of tasks and responsibilities in managing cash flow, tax management, procurement decisions, as well as margin calculations and customer invoicing.
- To formalise the hierarchical structure of the Finance Division, led by the Chief Financial Officer (CFO), which specifically oversees the Accounting and Taxation Team, the Finance Division Secretariat, and the Procurement Team.
- Coordinate the scope of authority and promote clear inter-divisional communication channels with the Technical Division (CTO) and the Operations Division (COO).
- Standardise official titles and abbreviations for officers and staff within the Finance Division, including CFO, ApU, Fds and PTm, to ensure consistency in the management of operational documents.
- Establish strict protocols for the performance of duties based on the Main Duties and Functions (Tupoksi) of each position so that every function within the division can be carried out with full accountability.

2.0 SCOPE

The procedures set out in this document apply strictly to all personnel within the Finance Division of PT Nirwana Bhumi Energi involved in the financial management of customised products.

The scope of these procedures covers:

- All workflows relating to financial activities and the staff involved
- The planning, execution and sustainability stages of the company
- The operational stages of record-keeping and reporting within the company
- All formal financial records, filing systems, proof of payment and payment documentation administration throughout all financial activities.

3.0 GENERAL PROVISIONS

Article 1: Scope and Business Sectors of the Company

PT Nirwana Bhumi Energy (NBE) recognizes and records all financial transactions originating from the 9 (nine) main business activities of the company, namely:

1. **Wholesale trade of industrial goods, machinery, equipment, and project materials.**
   Description: Procurement, B2B distribution, and trading of industrial components, machinery, and materials to support large-scale projects.

2. **Trade of mining materials and products.**
   Description: Trading of extractive commodities from the mining sector, subject to relevant tax regulations and non-tax state revenues (PNBP).

3. **Trade of CPO, vegetable oils, and their derivatives.**
   Description: Commercial activities (trading) of Crude Palm Oil (CPO) and its derivative products, for both domestic and export markets.

4. **Processing of CPO and its derivatives.**
   Description: Manufacturing activities processing raw palm oil into semi-finished or finished products, involving the calculation of Cost of Goods Manufactured.

5. **Engineering services and technical consultancy.**
   Description: Provision of professional services, engineering design, and technical advisory, with revenue recognition based on the delivery of services.

6. **Installation, integration, maintenance, and repair of industrial equipment.**
   Description: After-sales services, field technical services, and maintenance, with revenue recognized upon the completion of technical works.

7. **Special construction, scaffolding, and mechanical works.**
   Description: Civil and mechanical works focused on industrial infrastructure, subject to specific construction service regulations.

8. **Leasing of machinery, industrial equipment, and construction equipment.**
   Description: Provision of company assets for lease to third parties (Lessor), recorded in accordance with lease accounting standards.

9. **Business development of EPC, energy, oil and gas, petrochemicals, mining, and general industry.**
   Description: Execution of large-scale integrated projects (Engineering, Procurement, and Construction) involving long-term contracts.

4.0 ACCOUNTING AND BOOKKEEPING POLICY

Article 2: Basic Accounting Policy and Recording Principles

1. **Standard Compliance**
   The preparation and presentation of PT Nirwana Bhumi Energy's financial statements must comply with the Statement of Financial Accounting Standards (PSAK) applicable in Indonesia and converging with International Financial Reporting Standards (IFRS).

2. **Accrual Basis**
   All recording of transactions uses the accrual basis, where revenues and expenses are recognized when the transaction occurs or when the obligation/right arises, regardless of when cash is received or paid.

3. **Accounting Principles Relevant to the 9 Business Sectors:**

   a. **Revenue Recognition Principle**
      Highly relevant for Engineering Services, Installation, Special Construction, and EPC sectors. Revenue is recognized according to the percentage of completion of the project or when services have been delivered, not solely upon payment of the invoice.

   b. **Matching Principle**
      Highly relevant for the CPO Processing and EPC sectors. All production costs, project material costs, and direct labor costs must be recognized in the same period as the revenue generated from those products/projects.

   c. **Historical Cost Principle**
      Relevant for Machinery Leasing and Wholesale Trade sectors. Fixed assets and machinery inventory are recorded based on their initial acquisition value, including shipping and insurance costs (CIF), until the assets are ready for use or lease.

   d. **Consistency Principle**
      The selected accounting methods (e.g., CPO inventory valuation or heavy equipment depreciation method) must be applied consistently from one period to the next.

Article 3: Fixed Asset Depreciation Policy

1. **All tangible fixed assets owned by the company are depreciated using the Straight-Line Method.**
2. **This method allocates depreciation expense proportionally and evenly each year over the asset's useful economic life.**
3. **Depreciation Calculation Formula**
   Annual Depreciation Expense = (Acquisition Cost - Residual Value) / Useful Economic Life

Article 4: Monthly Bookkeeping and Adjustment Policy

1. **Monthly Closing**
   Bookkeeping must be closed at the end of each month. Transactions for the respective month are locked once the period is declared closed.

2. **Adjusting Entries**
   Performed at the end of each month to adjust accrual accounts (unrecorded expenses/revenues), deferrals, asset depreciation, and inventory/project material valuation.

Article 5: Accounting Reporting Flow

1. **Transaction (Occurrence of financial activity).**
2. **Receipt / Invoice / Purchase Order / Form in SOP / Other legally valid documents indicating the occurrence of a transaction.**
3. **General Journal (Chronological recording).**
4. **General Ledger Posting.**
5. **Adjusting Journal Entries (Performed at the end of each month).**
6. **General Ledger Posting (After adjustments).**
7. **Worksheet.**
8. **Financial Statements (Statement of Changes in Equity, Income Statement, Balance Sheet, Statement of Cash Flows, Notes to Financial Statements).**
9. **Correction Journal (If errors are found).**
10. **Closing Journal.**
11. **Reversing Journal.**

5.0 TAX AND CUSTOMS POLICY

Article 6: Tax Reporting Policy

1. **Periodic Tax Return (SPT Masa)**
   Monthly tax reporting is conducted through the coretax system on a monthly basis.

2. **Annual Tax Return (SPT Tahunan)**
   Annual tax reporting is conducted through the coretax system per tax year, with the following deadlines: no later than March for individuals, and no later than April for corporate entities.

Article 7: Customs Policy

1. **Customs activities comply with the applicable customs policies and regulations.**
   The Finance Division delegates the responsibility for tax calculation and the import/export goods clearance process to the forwarder, taking into account the efficiency of the forwarder's service price.

2. **Booking Authority**
   Customs policy is entirely delegated to the forwarder. However, the Senior Tax Accountant (ApU) is required to book the forwarder's services prior to executing financial transactions.

6.0 STRUCTURE AND RESPONSIBILITIES OF THE FINANCE DIVISION

Article 8: Main Duties and Functions (Tupoksi) of Personnel under the Chief Financial Officer

In accordance with the SOP on Structural Policy of the Finance Division, personnel under the command of the Chief Financial Officer (CFO) hold the following responsibilities:

1. **Senior Tax Accountant (ApU)**
   Responsible for tax regulatory compliance, performing accounting calculations, devising efficient tax strategies, and preparing as well as submitting tax report documents. The ApU is also tasked with formulating initial pricing (FORM-FNC-001).

2. **Secretary to the Finance (Fds)**
   Acts as the center for document administration (preparing and issuing forms/invoices), filing financial transaction records, facilitating internal communication, and reporting operational status updates.

3. **Purchasing Team (PTm)**
   Responsible as the executor of procurements (Purchase Orders), negotiating with suppliers, managing initial logistics, and resolving claims (returns/warranties) for discrepancies in ordered goods.

4. **Internal Auditor (IAd)**
   Tasked with evaluating operational procedures, investigating fraud/errors, managing financial risks, and providing independent reporting directly to the Chief Financial Officer.

7.0 ADDITIONAL NOTES

Based on the company's 9 business sectors and the drafted policies, several accounting and managerial elements are recommended to be added in the future to ensure this SOP is audit-proof and comprehensive:

1. **Cost of Goods Manufactured (COGM) Policy**
   Considering NBE processes CPO, an industrial cost accounting policy must be added to detail the allocation of Direct Materials, Direct Labor, and Manufacturing Overhead.

2. **Inventory Valuation (PSAK 14 / IAS 2)**
   For wholesale trade and CPO sectors, it is mandatory to determine the inventory cost flow assumption used (FIFO or Weighted Average).

3. **Long-Term Contracts (PSAK 72 / IFRS 15)**
   Special construction and EPC projects must establish a revenue recognition foundation based on the Percentage of Completion method.

4. **Foreign Exchange Differences (PSAK 10 / IAS 21)**
   Given the customs activities (import/export) delegated to forwarders, the company will certainly deal with foreign currencies. It is mandatory to regulate the recording of foreign exchange gains/losses at the end of the month during bookkeeping closure.